10.1 Introduction



Student activity 10.1

Interview an accountant of a big organisation to know, how far automated accounting system is beneficial for maintaining accounting records.

Computerised accounting system refers to the system of maintaining accounts using computers. It involves the processing of accounting transactions through the use of computer in order to maintain and produce accounting records and reports. Computerised accounting system takes accounting transactions as inputs that are processed through accounting software to generate various reports.

10.2. Applications of Computerised Acounting System (CAS)

The applications of CAS are as follows:

1. **Maintaining accounting records:** In CAS, accounting records can be maintained easily and efficiently for long time period. It does not require a large amount of physical space. It facilitates fast and accurate retrieval of data and information.
2. **Inventory management:** CAS facilitates efficient management of inventory. Fast moving, slow moving and obsolete inventory can be identified. Updated information about availability of inventory, level of inventory, etc., can be obtained instantly.
3. **Pay roll preparation:** Pay roll involves the calculation of amount due to an employee. Pay of an employee may be calculated based on hours/days worked or units produced. CAS records the attendance of employees, computes the amount of salary, makes deductions such as provident fund, income tax, etc.
4. **Report generation:** CAS helps to generate various routine and special purpose reports.
5. **Data import/export:** Accounting data and information can be imported from or exported to other users within the organisation as well as outside the organisation.
6. **Taxation:** CAS helps to compute various taxes and to deduct these and deposit the same to the Government account.

10.3 Automated accounting system

Automated accounting is an approach to maintain up-to-date accounting records with the aid of accounting software. Under manual accounting system entries are made in different books of accounts while accounting software packages allow manual entry in one field or one place. From that field or place, the software automatically relates the transaction to all other relevant records within the software package.

10.4 Designing the accounting reports

Accounting report is a compilation of accounting information that are derived from the accounting records of a business concern. Accounting reports may be classified as routine reports and special purpose reports.

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